

Alphabet Q4 2025 Earnings

Blind Sentiment & Directional Score: Financial results only

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Financial results only** as the ONLY report content. The other sections (forward guidance, the earnings call Q&A) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Alphabet Inc. (GOOGL)
Report	Q4 2025
Release date	Wednesday 4 February 2026, after close
Earnings call	4:30pm ET
Source	Motley Fool transcript
Read mode	cold; reported financial results only, no guidance, no Q&A, no price chart
Time to produce	36 minutes

Source material (read ONLY this)

Headline financials (assigned source: financial results only)

- Consolidated revenue \$113.8B, up 17% in constant currency. Net income \$34.5B, up 30%; EPS \$2.82, up 31%.
- Operating income \$35.9B, up 16%; operating margin 31.6%, after a \$2.1B stock-based compensation charge tied to Waymo's valuation increase.

- Google Services \$95.9B, up 14%. Search and other advertising \$63.1B, up 17%. YouTube ads \$11.4B, up 9%. Subscriptions, platforms and devices \$13.6B, up 17%.
- Google Cloud \$17.7B, up 48%; Cloud operating margin 30.1% against 17.5% a year ago. Cloud backlog \$240B, up 55% sequentially and more than doubled year over year.
- Capex \$27.9B in Q4 and \$91.4B for 2025. Annual revenue passed \$400B for the first time; YouTube annual revenue passed \$60B.

Your scoring: fill in below, then seal

1 Sentiment score

Score: +0.75

Rationale. 17% constant-currency growth at \$400B+ scale, Cloud up 48% with margin nearly doubling, a \$240B backlog and EPS up 31%: records on essentially every line.

2 Directional signal

Signal: BUY

Rationale. Acceleration plus a backlog that more than doubled is as clean a profile as this source can show. BUY.

3 Structured summary

- **What the source shows.** Records across the board, with Cloud margin expansion the standout.
- **What the source cannot show.** No guide, so cannot see the capex plan that usually accompanies quarters like this.
- **Expectations bar.** Even a demanding bar looks cleared by 48% Cloud growth and a doubled backlog.
- **Conviction.** High conviction on the reported numbers taken alone.

4 Evidence quotes

1. Consolidated revenue \$113.8B, up 17% in constant currency. Net income \$34.5B, up 30%; EPS \$2.82, up 31%.
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— SEALED —

Overnight move and call verification

GOOGL close, 4 February 2026 (release day)	\$333.04
GOOGL open, 5 February 2026	\$312.22
Overnight move	−6.25%

Call verification

- HOLD band test: $|-6.25\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: The move is negative, so the correct directional call is **SELL**.
- Score given vs. correct call: signal was **BUY**, correct call **SELL**, so **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	− 6.25%
D+1 close	−0.54%
D+3 close	−2.62%
D+5 close	−6.63%
D+10 close	−9.06%
D+20 close	−9.66%